

BUSINESS REQUIREMENTS DOCUMENT (BRD)

Project Title

Payment Reconciliation Process Optimization
and Automation: A Business Analysis Approach

Introduction

1.1 Background

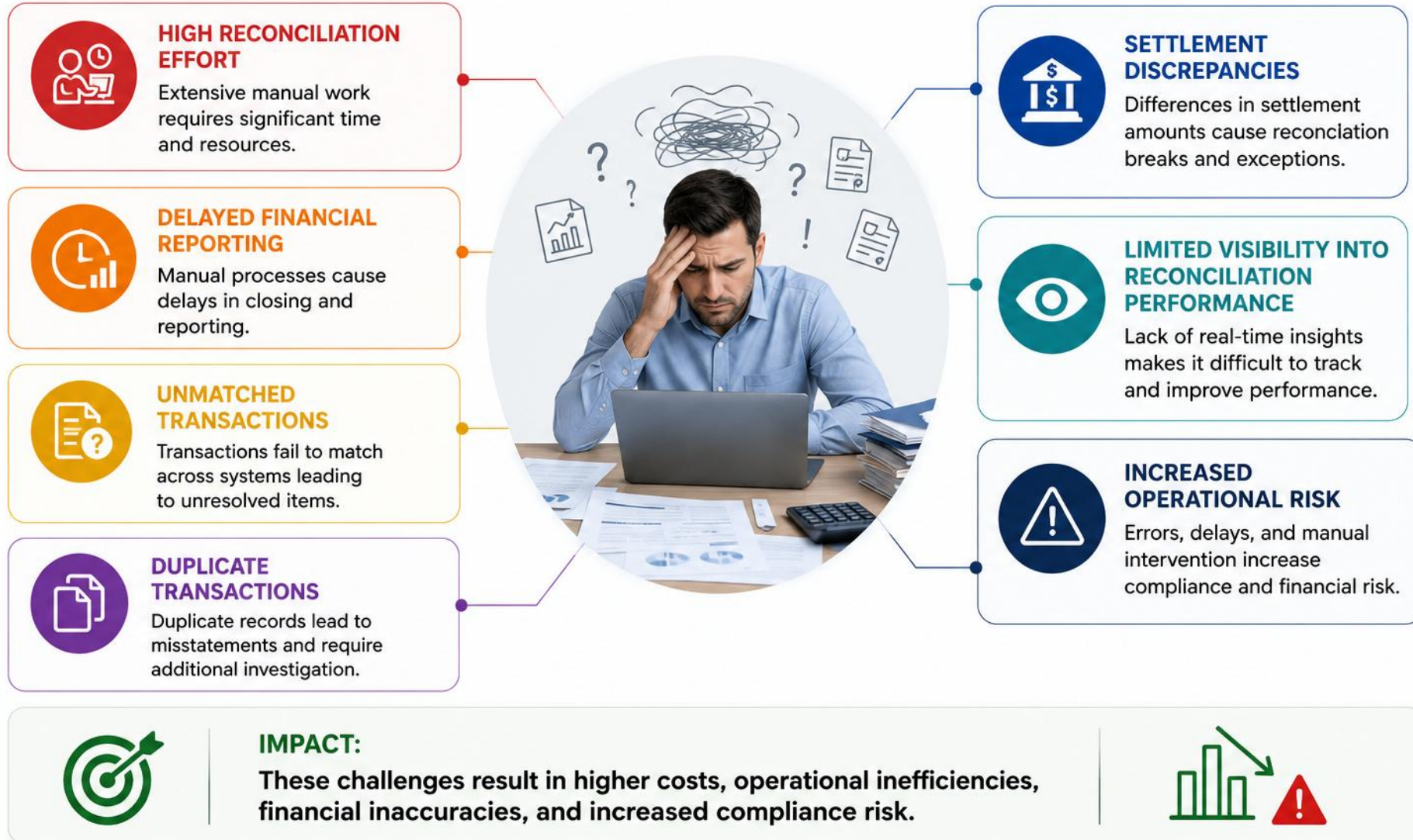
Organizations receive payments through various channels such as payment gateways, bank transfers, mobile payments, POS terminals, and online platforms. As transaction volumes increase, manual reconciliation processes become inefficient, time-consuming, and prone to errors.

The absence of an automated reconciliation mechanism often results in delayed reporting, unmatched transactions, duplicate records, revenue leakage, and poor visibility into financial operations.

This project aims to optimize and automate the payment reconciliation process by introducing automated validation, transaction matching, exception management, and reporting capabilities.

1.2 BUSINESS PROBLEM

The current payment reconciliation process is largely **manual** and presents the following challenges:



1.3 BUSINESS OBJECTIVES

The project seeks to improve reconciliation processes through **automation**, **accuracy**, **visibility**, and stronger **financial control**.



2. PROJECT SCOPE



2.1 IN SCOPE

The solution shall support:



Payment gateway transaction processing



Bank settlement processing



Transaction validation



Transaction matching



Exception management



Dashboard reporting



Audit logging



User management



2.2 OUT OF SCOPE

The following are outside the scope of this project:



Payment processing



Payment authorization



Customer onboarding



Banking operations



General ledger processing



IN SCOPE

Focuses on reconciliation and related processes to ensure accuracy, visibility and control.



OUT OF SCOPE

Core business and operational functions managed by other systems or teams are outside this project.



3. STAKEHOLDERS

The following stakeholders are involved in the project and have key roles and responsibilities.

 STAKEHOLDER	 ROLE
 CFO	 Executive Sponsor
 Finance Manager	 Process Owner
 Finance Officer	 End User
 Internal Auditor	 Control Reviewer
 System Administrator	 System Support
 Business Analyst	 Requirements Management

4. FUNCTIONAL REQUIREMENTS

The system shall provide the following functional capabilities to support reconciliation processes.



FR001 IMPORT PAYMENT TRANSACTIONS

The system shall allow payment transactions to be imported from approved payment gateways.

★ Priority: High



FR002 IMPORT BANK SETTLEMENT DATA

The system shall allow settlement files to be imported from banks and payment service providers.

★ Priority: High



FR003 TRANSACTION VALIDATION

The system shall validate imported transactions before reconciliation.

Validation checks shall include:

- Transaction Reference
- Transaction Date
- Transaction Amount
- Payment Channel
- Duplicate Reference Detection

★ Priority: High



FR004 TRANSACTION MATCHING

The system shall automatically match payment transactions against settlement records.

Matching criteria shall include:

- Transaction Reference
- Amount
- Date

★ Priority: High



FR005 EXCEPTION IDENTIFICATION

The system shall identify reconciliation exceptions.

Supported exception types:

- Missing Settlement
- Amount Mismatch
- Duplicate Transaction
- Invalid Reference

★ Priority: High



FR006 EXCEPTION QUEUE MANAGEMENT

The system shall create and maintain an exception queue for unresolved transactions.

★ Priority: High



FR007 EXCEPTION RESOLUTION

Finance users shall be able to review and resolve reconciliation exceptions.

★ Priority: High



FR008 DASHBOARD REPORTING

The system shall provide dashboards displaying reconciliation performance.

★ Priority: High



FR009 REPORT GENERATION

The system shall generate:

- Daily Reconciliation Report
- Exception Report
- Settlement Report
- Management Performance Report

★ Priority: Medium



FR010 AUDIT TRAIL

The system shall maintain an audit log for all reconciliation activities.

★ Priority: High



OBJECTIVE: These functional requirements ensure accurate, efficient, and controlled reconciliation with complete visibility and auditability.



Improved
Efficiency



Higher
Accuracy



Stronger
Controls



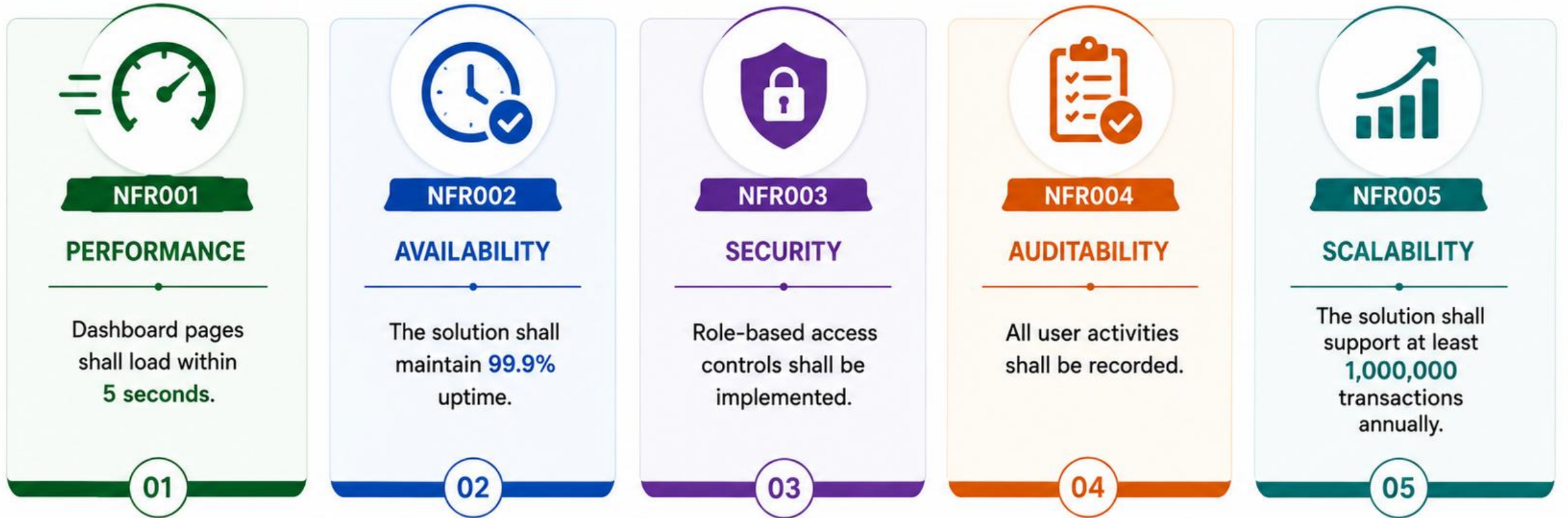
Better
Visibility



Actionable
Insights

5. NON-FUNCTIONAL REQUIREMENTS

The solution shall meet the following non-functional requirements to ensure reliability, security, and efficiency.



Reliable

Ensures consistent and dependable performance.



Secure

Protects data and ensures authorized access only.



Always Available

Minimizes downtime and ensures business continuity.



Traceable

Provides complete visibility and audit readiness.



Future Ready

Scales with business growth and increasing data volume.

6. BUSINESS RULES

The following business rules govern transaction processing and reconciliation.



BR001 TRANSACTION REFERENCE

Transaction Reference
must be unique.



BR002 TRANSACTION AMOUNT

Transaction Amount
must be greater than zero.



BR003 MATCHED TRANSACTION

A transaction shall be classified as
Matched when:

Reference Number = Reference Number

AND

Amount = Amount



BR004 AMOUNT MISMATCH

A transaction shall be classified as
Amount Mismatch when:

Reference Number matches

BUT

Amount differs.



BR005 MISSING SETTLEMENT

A transaction shall be classified as
Missing Settlement when:

Gateway transaction exists

AND

No corresponding bank transaction exists.



BR006 DUPLICATE TRANSACTION

A transaction shall be classified as
Duplicate Transaction when:

The same transaction reference
appears more than once.



These rules ensure
accuracy, consistency,
and reliable reconciliation.



Data
Integrity



Accurate
Matching



Exception
Identification



Reliable
Reconciliation



Better Financial
Control

7. ASSUMPTIONS

01



Payment gateways
provide transaction data.

02



Banks
provide settlement data.

03



Transaction references
are available.

04



Users
have appropriate access rights.

8. CONSTRAINTS

01



Data quality
depends on source systems.

02



Settlement files
must follow approved formats.

03



Internet connectivity
is required for dashboard access.



Together, these assumptions and constraints
ensures smooth and reliable reconciliation operations.



Reliable Data
Sources



Operational
Efficiency



Controlled
Environment



Improved
Accuracy

9. SUCCESS CRITERIA & 10. EXPECTED BENEFITS

Measuring project success through operational improvements, performance targets, and business value realization.



SUCCESS CRITERIA

The project shall be considered successful when:



95%+ Reconciliation Rate

Transactions successfully reconciled exceed 95%.

95%+



Exception Rate Below 5%

Unmatched transactions remain under 5%.

< 5%



70% Reduction in Manual Effort

Significant decrease in manual reconciliation activities.

70%



80% Faster Reporting

Financial and reconciliation reports generated faster.

80%



99.9% Dashboard Availability

High system reliability and accessibility.

99.9%

KPI SUMMARY

KPI		Target
	Reconciliation Rate	95%+
	Exception Rate	< 5%
	Manual Effort Reduction	70%
	Reporting Time Reduction	80%
	System Availability	99.9%



EXPECTED BENEFITS

Business value expected from the implementation of the solution.



Improved Reconciliation Accuracy



Reduced Operational Costs



Faster Exception Resolution



Better Revenue Assurance



Improved Financial Controls



Improved Management Visibility



Enhanced Decision-Making Capability

BUSINESS IMPACT



Increased
Operational
Efficiency



Better
Financial
Visibility



Improved
Revenue
Protection



Stronger
Internal
Controls



Faster
Decision
Making



Enhanced
Monitoring &
Compliance

PROJECT VALUE REALIZATION



Implement
Solution



Improve
Reconciliation



Reduce
Exceptions



Increase
Accuracy



Enhance
Visibility



Achieve
Business
Benefits